Category

Analyzing Statements of Cash Flows I

Related Questions:

Practice questions related to this topic

DIFFERENCES IN CASH FLOW STATEMENTS PREPARED UNDER US GAAP VERSUS IFRS

Learning Outcome

- contrast cash flow statements prepared under International Financial Reporting Standards (IFRS) and US generally accepted accounting principles (US GAAP)

The key differences between statements of cash flows prepared under IFRS and US GAAP are summarized in Exhibit 34. Most significantly, IFRS allow more flexibility in the reporting of such items as interest paid or received and dividends paid or received and in how income tax expense is classified.

US GAAP classify interest and dividends received from investments as operating activities, whereas IFRS allow companies to classify those items as either operating or investing cash flows. Likewise, US GAAP classify interest expense as an operating activity, even though the principal amount of the debt issued is classified as a financing activity. IFRS allow companies to classify interest expense as either an operating activity or a financing activity. US GAAP classify dividends paid to stockholders as a financing activity, whereas IFRS allow companies to classify dividends paid as either an operating activity or a financing activity.

US GAAP classify all income tax expenses as an operating activity. IFRS also classify income tax expense as an operating activity, unless the tax expense can be specifically identified with an investing or financing activity (e.g., the tax effect of the sale of a discontinued operation could be classified under investing activities).

Exhibit 34:

Cash Flow Statements: Differences between IFRS and US GAAP

Topic	IFRS	US GAAP
Classification of cash flows:		
• Interest received	Operating or investing	Operating
• Interest paid	Operating or financing	Operating
• Dividends received	Operating or investing	Operating
• Dividends paid	Operating or financing	Financing
• Bank overdrafts	Considered part of cash equivalents	Not considered part of cash and cash equivalents and classified as financing
• Taxes paid	Generally operating, but a portion can be allocated to investing or financing if it can be specifically identified with these categories	Operating
Format of statement:	Direct or indirect; direct is encouraged	Direct or indirect; direct is encouraged. A reconciliation of net income to cash flow from operating activities must be provided regardless of method used

Question Set

Rate Your Confidence

1. Which of the following is an example of a financing activity on the cash flow statement under US GAAP?

A. Payment of interest
B. Receipt of dividends
C. Payment of dividends

Hide Solution

Solution:

C is correct. Payment of dividends is a financing activity under US GAAP. Payment of interest and receipt of dividends are included in operating cash flows under US GAAP. Note that IFRS allow companies to include receipt of interest and dividends as either operating or investing cash flows and to include payment of interest and dividends as either operating or financing cash flows.

Category
Analyzing Statements of Cash Flows I

Related Questions:
Practice questions related to this topic

2. Interest paid is classified as an operating cash flow under:

A. US GAAP but may be classified as either operating or investing cash flows under IFRS.
B. IFRS but may be classified as either operating or investing cash flows under US GAAP.
C. US GAAP but may be classified as either operating or financing cash flows under IFRS.

Hide Solution

Solution:

C is correct. Interest expense is always classified as an operating cash flow under US GAAP but may be classified as either an operating or financing cash flow under IFRS.

3. Cash flows from taxes on income must be separately disclosed under:

A. IFRS only.
B. US GAAP only.
C. both IFRS and US GAAP.

Hide Solution

Solution:

C is correct. Taxes on income are required to be separately disclosed under IFRS and US GAAP. The disclosure may be in the cash flow statement or elsewhere.

4. Mabel Corporation (MC) reported accounts receivable of USD66 million at the end of its second fiscal quarter. MC had revenues of USD72 million for its third fiscal quarter and reported accounts receivable of USD55 million at the end of its third fiscal quarter. Based on this information, the amount of cash MC collected from customers during the third fiscal quarter is:

A. USD61 million.
B. USD72 million.
C. USD83 million.

Hide Solution

Solution:

reduction in accounts receivable indicates that cash collected during the quarter was greater than revenue on an accrual basis.

5. Red Road Company, a consulting company, reported total revenues of USD100 million, total expenses of USD80 million, and net income of USD20 million in the most recent year. If accounts receivable increased by USD10 million, how much cash did the company receive from customers?

A. USD90 million.
B. USD100 million.
C. USD110 million.

Hide Solution

Solution:

A is correct. Revenues of USD100 million minus the increase in accounts receivable of USD10 million equal USD90 million cash received from customers. The increase in accounts receivable means that the company received less in cash than it reported as revenue.

Rate Your Confidence

Category
Analyzing Statements of Cash Flows I

Related Questions:
Practice questions related to this topic

OPTIONAL UNTESTED SEGMENT

UNLOCKING REAL-WORLD APPLICATIONS WITH BLOOMBERG

Bloomberg is one of the main market data platforms used globally by finance professionals throughout their workflows. In this optional section, we will explore a real-world application of the CFA Curriculum on Bloomberg.

{FA CF} FINANCIAL ANALYSIS: STANDARDIZED CASH FLOW

The Bloomberg FA CF function allows you to view free cash flow for the firm (FCFF) and free cash flow to equity (FCFE) numbers and “cash flow to net income” coverage ratios for any chosen company.

> “FA <GO> provides comprehensive financial information for a company or equity index, including historical fundamental data and future estimates, so you can analyze the value of a potential investment, partnership, or acquisition target. The Cash Flow tab provides details on company operational and investment activities. The Standardized subtab shows the Bloomberg standard view of cash flow analysis. Since this view is the same for all securities, you can make easy comparisons with other companies. Note: For standardization purposes, not all parts of the cash flow analysis appear in this view.” -Bloomberg

To explore this function, type FA CF into the Bloomberg command line and press Enter or <GO>. Type a security—such as Canadian National Railway Company (or CNR CN Equity)—into the top left amber field, and press Enter or <GO>.

+ Net Income	5,484.0	4,328.0	4,216.0	3,562.0	4,899.0	5,118.0	5,420.0
+ Depreciation & Amortization	1,281.0	1,329.0	1,562.0	1,589.0	1,598.0	1,729.0	1,757.0
+ Non-Cash Items	1,392.0	79.0	705.0	885.0	327.0	231.0	333.0
+ Deferred Income Taxes	1,195.0	527.0	569.0	487.0	513.0	404.0	486.0
+ Other Non-Cash Adj	-197.0	-448.0	136.0	398.0	-186.0	-173.0	-153.0
+ Chg in Non-Cash Work Cap	143.0	182.0	-560.0	129.0	147.0	-411.0	-358.0
+ (Inc) Dec in Accts Receiv	-125.0	-91.0	-7.0	158.0	-22.0	-290.0	-56.0
+ (Inc) Dec in Inventories	-70.0	-120.0	-60.0	20.0	-7.0	-82.0	-88.0
+ Inc (Dec) in Other	338.0	393.0	-493.0	-49.0	176.0	-39.0	-214.0
+ Net Cash From Disc Ops	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Cash from Operating Activities	5,516.0	5,918.0	5,923.0	6,165.0	6,971.0	6,667.0	7,152.0
Cash from Investing Activities							
+ Change in Fixed & Intang	2,673.0	-3,337.0	-3,865.0	-2,863.0	-2,891.0	-2,477.0	-2,832.0
+ Disp in Fixed & Intang	0.0	194.0	0.0	0.0	0.0	273.0	0.0
+ Disp of Fixed Prod Assets	0.0	194.0	0.0	0.0	0.0	273.0	0.0
+ Disp of Intangible Assets	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Acq of Fixed & Intang	2,673.0	-3,531.0	-3,865.0	-2,863.0	-2,891.0	-2,750.0	-2,832.0

Earnings: 07/25/23 | EVTS » Download Models | MODL »

© 2023 Bloomberg L.P.

Please provide feedback on this Bloomberg feature.

Rate Your Confidence

Category

Analyzing Statements of Cash Flows I

Related Questions:

Discuss Filter

Discussion

What do you want to discuss... (required)

NA Q3 isnt answer A?

Created 10 months ago by Nada Ait labsir

1 reply | Last Activity: 4 months ago

Show All replies Reply to this Comment

© 2025 CFA Institute. All Rights Reserved.

Category

Analyzing Statements of Cash Flows I

Related Questions:

Practice questions related to this topic

Category

Analyzing Statements of Cash Flows I

Related Questions:

Practice questions related to this topic

Category

Analyzing Statements of Cash Flows I

Related Questions:

Practice questions related to this topic